

Some Accumulators can be difficult to advise because they don't believe in basic investment principles such as diversification and asset allocation. They are often "hands-on," wanting to be heavily involved in the investment decision-making process. Biases of Accumulators are overconfidence, self-control, affinity, and illusion of control.

Overconfidence Bias

Bias type: Emotional

Overconfidence is best described as unwarranted faith in one's own thoughts and abilities, which contains both cognitive and emotional elements. Overconfidence manifests itself in investors' overestimation of the quality of their judgment. Many Accumulators claim an above-average aptitude for selecting stocks; however numerous studies have shown this to be a fallacy. For example, a study done by researchers Odean and Barber showed that after trading costs (but before taxes), the average investor underperformed the market by approximately 2 percent per year due to unwarranted belief in their ability to assess the correct value of investment securities.

Simple diagnostic for overconfidence bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

I am confident that my investment knowledge is above average and I can accurately predict how my investments will do.

Answering 3 to 5 shows a tendency toward overconfidence bias.

Self-Control Bias

Bias type: Emotional

Self-control bias is the tendency to consume today at the expense of saving for tomorrow. The primary concern for advisors with this bias is a client with high risk tolerance coupled with high spending. For example, suppose you have an Accumulator client who prefers high volatility investments and has high current spending needs and suddenly the financial markets hit some severe turbulence. This client may be forced to sell solid long-term investments that have had been priced down due to current market conditions just to meet current expenses.

Simple diagnostic for self-control bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

I will buy things I want even if they are not the best financial choices.

Answering 3 to 5 shows a tendency toward self-control bias.